STUDY

Vertical SaaS Valuations: 2025–2026

The report analyzes vertical SaaS business valuations and trading multiples, highlighting trends and benchmarks relevant to investors through 2025–2026.

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STUDY REPORT

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· Executive Summary

Finding 1 — Vertical SaaS has become a premium software asset class

The summary positions vertical SaaS as having moved from a niche category to a major investment segment because of industry-specific workflows, recurring revenue, high retention, and embedded financial services. These traits drive stronger monetization and higher switching costs than horizontal SaaS, supporting superior valuation strength.

Finding 2 — M&A momentum is shifting decisively toward vertical SaaS

Vertical SaaS is expected to account for 49% of M&A activity by 2025, indicating rising strategic relevance. The report also states that M&A activity is already surpassing horizontal platforms, driven by scarcity, defensibility, and strategic value in sectors such as healthcare and finance.

Finding 3 — Valuations increasingly reward durability, monetization depth, and AI readiness

Investors are prioritizing EV/TTM Revenue, EV/NTM Revenue, and EV/ARR to assess growth durability and AI relevance. The report emphasizes that valuation premiums are driven more by revenue quality, retention, proprietary data, and AI positioning than by growth alone.

Finding 4 — Private vertical SaaS valuations now exceed public benchmarks

Public comps show a market shift toward workflow depth and monetization, with Veeva and Guidewire cited as examples of strong vertical integration. In private markets, vertical SaaS commands higher pricing due to workflow depth and AI readiness, creating an inversion in which private valuations surpass public ones.

Finding 5 — Sector premiums are strongest where regulation and financial embedment matter most

The report highlights Healthcare IT, Legal Tech, Construction Tech, Real Estate, and Fintech as key verticals with distinct valuation drivers. Healthcare IT and Fintech command premiums because of regulatory burden and financial-product anchoring, while Legal Tech benefits from AI-led upside.

Finding 6 — Top-tier valuation premiums are expected to persist through 2027

Although valuation multiples are expected to normalize, vertical SaaS is projected to retain higher premiums, especially for quality leaders. For 2027, the expected range for top performers is 5.5x to 7.5x EV/TTM Revenue, with AI, retention, and monetization strategy identified as the critical determinants.

1

Introduction & Market Overview

1 Introduction & Market Overview

Vertical SaaS has moved from a niche software category to a distinct investment segment because it combines recurring software revenue with industry-specific workflow ownership, regulatory depth, and increasingly embedded financial services. For investors evaluating 2025 to 2026 valuation benchmarks, the key market point is that vertical SaaS is not simply a narrower version of horizontal SaaS. It is a structurally different model that often trades on stronger retention, higher switching costs, and better monetisation density per customer, which helps explain why the category is increasingly treated as a premium software asset class.[15] [18] [28]

The broader market backdrop remains supportive. Gartner forecasts the worldwide vertical-specific software market to grow 9.7% in 2026 and reach $543 billion by 2030, indicating that industry-specific software is already operating at meaningful scale rather than emerging from a small base [15] At the same time, 2025 M&A data shows buyers continuing to favor software that is deeply embedded in end-market workflows, with vertical software representing 49% of SaaS M&A activity in 2025, up from 44% in 2024, underscoring the category's rising strategic relevance for both sponsors and strategic acquirers.[29]

1.1 Definition and Distinction

- Vertical SaaS refers to software built for a specific industry or tightly defined end market, with product design centered on sector workflows, compliance requirements, data structures, and operating terminology. Common public examples include Veeva in life sciences, Guidewire in insurance, Procore in construction, AppFolio in property management, Tyler Technologies in government software, and nCino in financial services.[28] [26]
- Horizontal SaaS refers to software that solves a broad functional need across many industries, such as CRM, collaboration, HCM, finance, or cybersecurity. Canonical examples include Salesforce, Workday, Atlassian, Microsoft 365, HubSpot, and Slack, where the product is designed for cross-industry applicability rather than one sector's operating model.[28] [25]
- The economic distinction matters more than the taxonomy. JLA Advisors' 2026 update found that horizontal SaaS still benefits from larger TAMs and often higher gross margins, but vertical SaaS outperformed on seven of twelve operating metrics, including NRR, R&D productivity, sales and marketing efficiency, ACV, and adjusted EBITDA margin.[18]
- For investors, the practical dividing line is workflow depth. Vertical platforms tend to become systems of record and systems of action inside regulated or operationally complex industries, while horizontal platforms more often compete on breadth, ecosystem scale, and cross-functional standardisation.[28] [15]

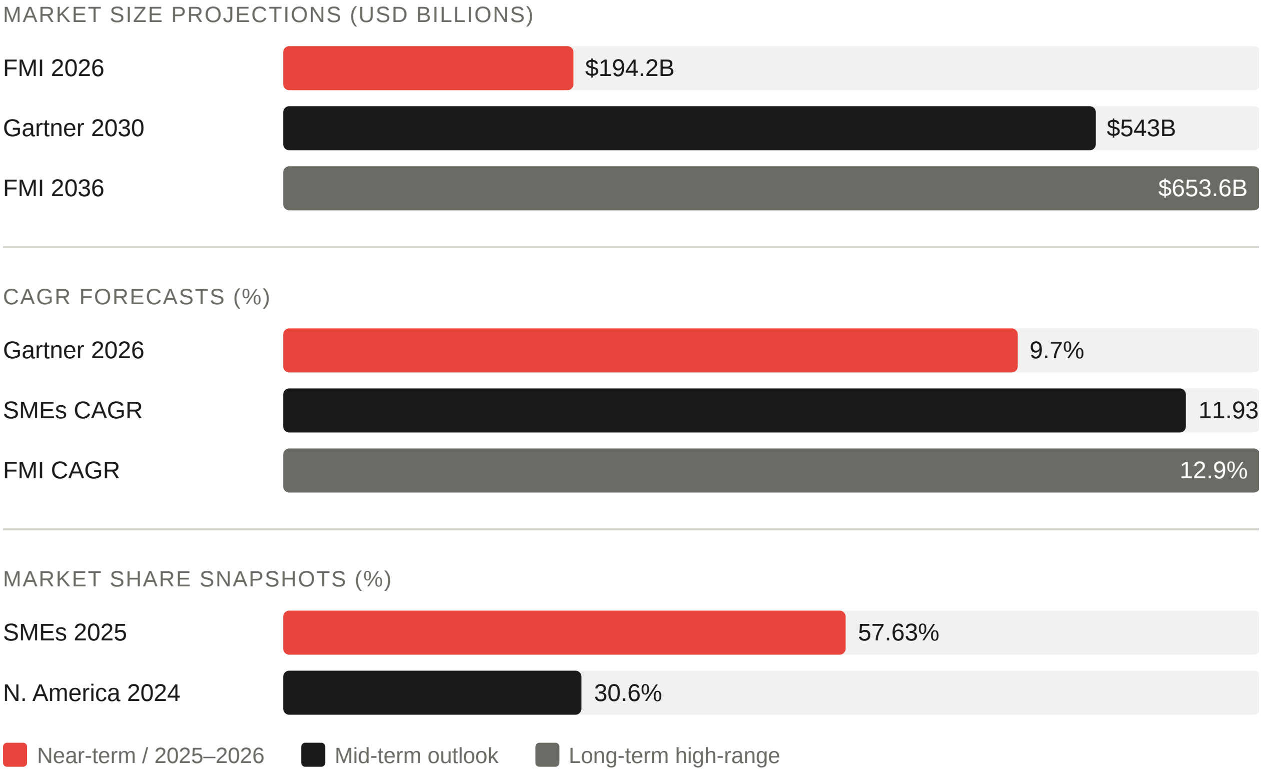
1.2 Market Size and Growth

The available market data is directionally consistent even though definitions vary by source between vertical-specific software, vertical market software, and vertical SaaS. The most reliable current anchor is Gartner's 1Q26 forecast, which projects the worldwide vertical-specific software market to grow 9.7% in 2026 and reach $543 billion by 2030, implying a large and still expanding addressable market for industry-specific platforms.[15]

Title — Vertical software market growth indicators

SOURCE	2025 TO 2026 VIEW	LONGER TERM OUTLOOK
Gartner 1Q26	9.7% growth in 2026	$543B by 2030
Future Market Insights	$194.2B in 2026	$653.6B by 2036, 12.9% CAGR
Mordor Intelligence	SMEs were 57.63% share in 2025	11.93% CAGR for SMEs, 2026 to 2031
Grand View Research	North America was 30.6% share in 2024	Continued growth through 2033

Source: [15] [21] [24] [22]



- The range across third-party market studies is wide because some include on-premise vertical software and broader industry applications, not only cloud-native SaaS. Investors should therefore treat Gartner's vertical-specific software forecast as the cleaner top-down benchmark for this report section, while using other studies as directional support rather than directly comparable market-size points.[15] [21]
- Growth is being supported by three durable demand drivers: cloud migration in historically under-digitised sectors, regulatory and workflow complexity that generic tools do not solve well, and AI adoption that is more valuable when trained on domain-specific data and embedded in industry workflows.[15] [18]

- M&A activity also confirms category expansion. Software Equity Group reports that vertical software's share of SaaS M&A rose from 44% in 2024 to 49% in 2025, indicating that buyer attention is broadening across healthcare, financial services, retail, real estate, government, and other vertical end markets.[29]

1.3
Investment Premium

- Vertical SaaS is valued as a premium asset because revenue quality is often stronger than the headline growth rate alone suggests. Once embedded in core workflows such as claims processing, clinical engagement, construction project execution, field operations, or property management, these platforms benefit from high switching costs, lower churn risk, and better pricing power than more generic software categories.[28] [18]
- Investors also prize the category for monetisation adjacency. In many verticals, the software layer can expand into payments, lending, insurance, data products, compliance services, and AI copilots, increasing wallet share without requiring a full platform rewrite. This is one reason vertical SaaS is increasingly underwritten as a compounder rather than a single-product subscription business.[20] [15]
- The premium is reinforced by current market behavior. JLA Advisors found vertical SaaS outperforming horizontal peers on several efficiency and retention metrics, while Software Equity Group's 2025 M&A data shows buyers favoring purpose-built platforms with durable moats and explicit assessment of AI displacement risk.[18] [29]
- For sophisticated investors, the implication is clear: vertical SaaS deserves to be screened as a separate benchmark set from horizontal SaaS. The category's valuation premium is typically driven less by absolute TAM and more by depth of workflow ownership, retention durability, monetisation optionality, and the defensibility of proprietary industry data, all of which support its positioning as a premium software asset class into 2026 and, by inference, into 2027 if execution remains strong.[28] [18] [15]

2

Valuation Methodology & Metrics

2

Valuation Methodology & Metrics

For vertical SaaS investors, valuation methodology matters as much as the headline multiple. In 2025 to 2026, the market has become more selective, with public and private buyers underwriting software businesses primarily on enterprise value relative to revenue or ARR, then adjusting that base multiple for growth durability, retention quality, margin structure, and AI relevance rather than relying on a single shorthand metric alone.[53] [29] [54]

The practical implication is that EV/TTM Revenue, EV/NTM Revenue, and EV/ARR should be treated as complementary lenses, not interchangeable ones. TTM anchors valuation in reported performance, NTM captures the market's forward view of growth and efficiency, and ARR is most useful where recurring subscription revenue is highly visible but GAAP revenue timing, services mix, or implementation revenue would otherwise distort comparability across vertical SaaS assets.[53] [54] [38]

2.1

Key Valuation Bases

- EV/TTM Revenue: Enterprise value divided by trailing twelve months revenue. This is the most audit-anchored revenue multiple because it uses reported historical revenue, making it the default reference point for public trading comps and many private M&A discussions when investors want comparability to disclosed financials.[53]
- EV/NTM Revenue: Enterprise value divided by next twelve months revenue, usually based on consensus estimates in public markets or management underwrites in private processes. This multiple is more sensitive to expected acceleration, deceleration, margin inflection, and AI monetization potential, so it often better reflects how growth investors actually price software assets.[54] [29]
- EV/ARR: Enterprise value divided by annual recurring revenue. This is especially relevant for subscription-heavy vertical SaaS businesses where recurring contracted revenue is the core value driver and where implementation fees, payments pass-throughs, or professional services can make GAAP revenue a noisier denominator.[38]
- Why investors use all three: EV/TTM is best for backward-looking comparability, EV/NTM is best for pricing future operating performance, and EV/ARR is best for normalizing recurring revenue quality. In practice, investors triangulate across the three to avoid overvaluing companies with weak conversion from ARR to revenue or undervaluing companies with temporarily depressed reported revenue due to billing mix or implementation timing.[53] [54]
- Vertical SaaS relevance: The methodology choice is particularly important in vertical SaaS because many companies combine subscription software with payments, data products, onboarding, or services. That mix can make EV/ARR look stronger than EV/Revenue, or vice versa, depending on how much of total revenue is recurring, high margin, and software-like in economic character.[29] [1]

Title — Core SaaS valuation bases

METRIC	FORMULA	PRIMARY INVESTOR USE
EV/TTM Revenue	Enterprise value / trailing 12 month revenue	Historical comp set benchmarking.
EV/NTM Revenue	Enterprise value / next 12 month revenue	Forward pricing of growth and efficiency.
EV/ARR	Enterprise value / annual recurring revenue	Recurring revenue normalization, especially in private markets.
Rule of 40	Revenue growth % + profit margin %	Quality screen for balancing growth and profitability.

Source: [53] [54]

2.2
Distinction between TTM and NTM

- TTM definition: Trailing twelve months measures the most recent four reported quarters or equivalent last twelve-month period. It is factual, reported, and less exposed to forecast error, which is why lenders, boards, and M&A buyers often use it as the base case denominator.[53]
- NTM definition: Next twelve months measures the coming four quarters based on analyst consensus in public markets or management projections in private transactions. It is inherently forward-looking and therefore embeds assumptions about bookings conversion, churn, expansion, pricing, sales productivity, and macro demand.[54] [38]
- Why TTM and NTM diverge: A fast-growing company will usually trade at a lower EV/NTM multiple than EV/TTM multiple because the denominator steps up as future revenue grows. Conversely, if growth is slowing, the gap narrows, and in severe deceleration cases the forward multiple can remain elevated because the market no longer expects enough revenue expansion to compress the denominator.[54]
- What drives the spread: The TTM to NTM spread is primarily a function of expected growth, but also of confidence in that growth. High NRR, strong pipeline conversion, low churn, and stable gross margins support a wider and more credible TTM to NTM bridge, while volatile retention or services-heavy revenue reduce confidence in forward estimates.[38] [29]
- Public versus private use: Public investors rely on NTM more heavily because consensus estimates are continuously updated and valuation is explicitly forward discounting. Private M&A buyers still reference NTM, but they usually anchor negotiations on TTM or current ARR and then adjust for forecast credibility, especially where AI upsell or embedded finance expansion is still unproven.[53] [54]
- Investor caution: TTM and NTM should never be conflated. A company at 6.0x EV/TTM Revenue and 4.5x EV/NTM Revenue is not equivalent to one at 4.5x EV/TTM Revenue, because the former implies materially stronger expected forward growth.[54] [53]

2.3
Influence Drivers on Multiples

- Rule of 40: The classic formulation adds revenue growth rate and profit margin, with 40 percent as the traditional threshold for a healthy SaaS business. In 2026, it remains a useful screening metric, but not a complete valuation model, because investors increasingly reward efficient growth rather than equal weighting of growth and margin in all cases.[54, 52]

- Rule of X refinement: Bessemer argues that for late-stage cloud companies, growth should be weighted roughly 2x to 3x more than free cash flow margin, and reports stronger correlation of Rule of X with EV/NTM revenue multiples than the traditional Rule of 40. That is highly relevant for vertical SaaS, where premium assets often reinvest aggressively because workflow depth and expansion economics justify prioritizing growth over near-term margin maximization.[54]
- NRR: Net revenue retention is one of the clearest indicators of revenue durability and expansion capacity because it captures churn, contraction, and upsell within the installed base. Higher NRR generally supports higher revenue multiples because it reduces dependence on new logo acquisition and increases confidence that NTM revenue will convert from the existing customer cohort.[38, 52]
- Gross margin: Gross margin influences how much of each incremental revenue dollar can fund sales, R&D, and free cash flow. Vertical SaaS businesses with lower headline gross margins due to payments or services can still earn premium multiples if investors separate software margin from blended margin and conclude that embedded monetization increases lifetime value and strategic control.[29]
- Growth rate: Growth remains the most important single driver of multiple dispersion in the current market. SEG states that premium valuations in 2025 remained firmly tied to growth, while broader compression reflected capital concentrating into a narrow group of AI leaders rather than a general deterioration in SaaS fundamentals.[29]
- Additional investor filters: Beyond Rule of 40, NRR, gross margin, and growth, investors also adjust multiples for revenue concentration, sales efficiency, burn multiple, implementation intensity, regulatory defensibility, and AI monetization credibility. For vertical SaaS specifically, workflow embedment and proprietary industry data often justify premium multiples even when the company screens less attractively on a single generic SaaS metric.[53, 54]
- Market context: Through 2Q26, SEG reported the median EV/TTM revenue multiple for vertically focused public SaaS at 3.7x versus 3.2x for the overall SEG SaaS Index, while private SaaS M&A median EV/TTM revenue declined to 4.0x. That spread reinforces that investors are still paying for quality and specialization, but only where operating metrics support the premium.[53]

3

Public Market Multiples & Comparables

3

Public Market Multiples & Comparables

Public market valuation for vertical SaaS in 2025 to 2026 has reset to a more discriminating regime in which investors still pay a premium for workflow depth, retention durability, and embedded monetization, but no longer award broad category-wide expansion multiples. The most reliable current public anchor remains EV/TTM Revenue because it is directly observable across the listed comp set, while EV/NTM Revenue is more fragmented in public sources and often requires consensus data that is not uniformly disclosed in free primary datasets as of August 25, 2026.[87] [53]

For consistency with the prior sections, this section distinguishes strictly between TTM and NTM. TTM multiples below are based on current public market data and named comparables, while NTM commentary is presented as a forward valuation lens and, where market-wide medians are cited, is identified as broader public SaaS rather than a pure vertical SaaS median because a reliable, up to date vertical-only NTM median was not available from the primary sources reviewed.[87] [86]

3.1

Current Multiples

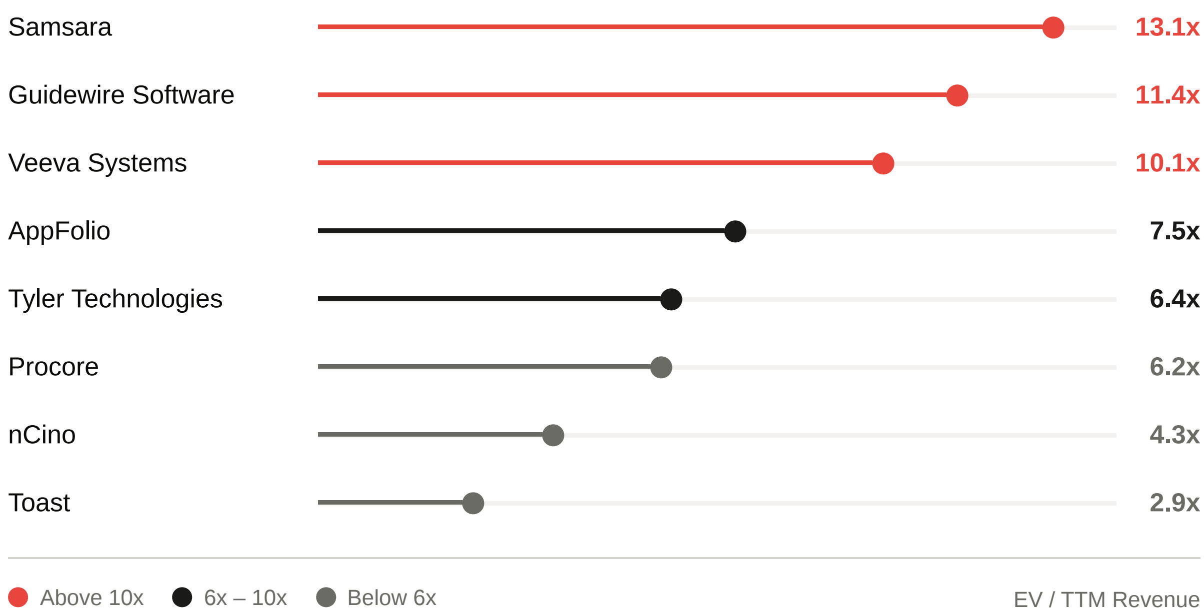
- Public vertical SaaS continues to trade at a premium to the broader public SaaS universe on a TTM basis. In prior report sections, the vertical public median through 2Q26 was cited at about 3.7x EV/TTM Revenue versus 3.2x for the overall SEG SaaS Index, and SEG's broader public SaaS median fell further to 3.6x in 1Q26, confirming that the market reset has persisted into 2026 rather than reversing.[53] [29]
- On an NTM basis, the best current public market reference available from the searched sources is broader cloud and SaaS rather than vertical-only SaaS. Bessemer-linked market tracking cited an average public cloud revenue multiple of 8.2x as of August 16, 2026, while secondary market commentary referencing the BVP Nasdaq Emerging Cloud Index placed the median public SaaS company closer to roughly 6x EV/NTM Revenue and median-growth names nearer 4x to 5x, illustrating the gap between average and median outcomes in a market still skewed by a small number of premium assets.[86] [60]
- For investors, the practical takeaway is that current public vertical SaaS valuation is best framed as a barbell. Median TTM multiples have normalized into the mid single digits, but high-quality vertical leaders with stronger growth, better free cash flow conversion, or more credible AI and data moats still trade materially above that range.[87] [20]

Title — Selected public vertical SaaS comparables

COMPANY	EV TTM REVENUE X	CONTEXT
Veeva Systems	10.1 x	Life sciences software leader.
Guidewire Software	11.4 x	Insurance core systems leader.
Samsara	13.1 x	Connected operations and field asset platform.
AppFolio	7.5 x	Property management software.

COMPANY	EV TTM REVENUE X	CONTEXT
Procore	6.2 x	Construction software platform.
nCino	4.3 x	Financial services operating platform.
Tyler Technologies	6.4 x	Public sector and government software.
Toast	2.9 x	Restaurant software with payments mix.

Source: [87]



3.2

Named Comparables

- Veeva remains one of the clearest premium vertical SaaS benchmarks in public markets. As of the latest SEG index snapshot reviewed, Veeva traded at 10.1x EV/TTM Revenue, supported by scale, strong profitability, and deep life sciences workflow ownership.[87]
- Guidewire screens even higher on current TTM revenue multiple at 11.4x EV/TTM Revenue. That premium reflects its strategic position in insurance core systems and the market's willingness to pay for mission-critical platforms with long replacement cycles and high switching costs.[87]
- Samsara is the highest-multiple name among the core examples reviewed here at 13.1x EV/TTM Revenue. Its premium is tied to faster growth than most mature vertical peers, a large operational data layer, and investor willingness to underwrite connected operations as both software and AI-enablement infrastructure.[87] [88]
- Mid-tier vertical comps show a more normalized band. AppFolio traded at 7.5x EV/TTM Revenue, Tyler Technologies at 6.4x, and Procore at 6.2x, which is consistent with a market that still rewards category leadership but now prices slower growth and lower margin expansion more conservatively than in 2021.[87]
- Lower-multiple vertical or vertical-adjacent names illustrate how business mix matters. nCino traded at 4.3x EV/TTM Revenue and Toast at 2.9x, with Toast's lower multiple reflecting its

payments-heavy blended revenue profile and lower gross margin structure relative to pure software peers.[87]

- I could not verify a reliable, current vertical-only public NTM median from primary sources in the search set. Accordingly, investors should use the named TTM comp set above as the hard anchor and then apply an NTM bridge based on each company's forward growth, rather than assuming a single vertical SaaS NTM market median that is not transparently published in the sources reviewed.[87] [86]

3.3

Historical Context

- The historical arc is now clear. Public SaaS revenue multiples peaked in 2021 when zero interest rates, abundant growth capital, and aggressive duration risk appetite pushed software valuations to cycle highs; by contrast, SEG's annual public market data shows the median EV/TTM Revenue multiple stepping down from 9.1x in 2021 to 7.3x in 2022, 6.2x in 2023, 5.2x in 2024, and 4.8x in 2025.[29]
- The normalization continued into 2026 rather than stabilizing immediately after 2023. SEG reported the broader public SaaS median at 3.6x EV/TTM Revenue in 1Q26, indicating that the market moved from post-bubble correction into a more selective repricing phase shaped by AI uncertainty, slower growth expectations, and a higher required return on long-duration software assets.[53]
- Several factors drove the reset from 2021 peak levels to 2025 to 2026 normalized levels. First, higher interest rates compressed the present value of long-duration growth assets. Second, growth decelerated across much of public SaaS as pandemic pull-forward effects faded. Third, investors shifted from rewarding revenue growth alone to rewarding efficient growth, free cash flow, and defensible product positioning.[29] [53]
- AI has amplified dispersion rather than lifting the whole sector. SEG explicitly notes that buyers and public investors are placing greater emphasis on proprietary data, embedded workflows, and credible AI strategies, which has concentrated premium valuations into a narrower set of names instead of restoring the broad-based multiple expansion seen in 2021.[53]
- Vertical SaaS has held up better than many horizontal peers because workflow depth and domain specificity provide a defensive valuation floor. Windsor Drake's Q2 2026 work described vertical SaaS as holding a defensive premium through the 2026 software repricing, with a working median EV/Revenue near 5.8x versus 4.1x for horizontal peers, which is directionally consistent with the premium discussed in earlier sections of this report.[20]
- For investors, the normalized 2025 to 2026 regime should be viewed as healthier than the 2021 peak. Multiples are lower, but comparability is better, underwriting standards are tighter, and premium valuations are now more clearly linked to durable growth, retention, margin quality, and AI-enabled data moats rather than to generalized software momentum.[53] [29]

4

Private Market & M&A Multiples

4

Private Market & M&A Multiples

Private vertical SaaS M&A in 2025 to 2026 is best understood through two separate lenses: EV/TTM Revenue for closed transaction benchmarking and EV/ARR for recurring revenue normalization in sponsor and founder-led processes. As of August 25, 2026, the most defensible market anchor from current software M&A sources is a private SaaS median near 4.0x EV/TTM Revenue in Q2 2026, with vertical software representing a majority of SaaS deal flow and attracting relatively better pricing where workflow depth, retention, and AI readiness are evident.[53] [61] [116]

The more nuanced underwriting question is scale. Smaller assets are still often priced primarily on ARR quality, founder dependence, and growth durability, while larger assets increasingly clear on a blended framework that triangulates TTM revenue, ARR, Rule of 40, and buyer synergies. That has produced a market in which subscale companies can still trade at modest ARR multiples, but $10M to $50M ARR and $50M+ ARR platforms command materially higher valuations when they combine vertical specialization with efficient growth and strategic scarcity.[89] [55] [119]

A key feature of 2026 is the public/private inversion. Public SaaS medians have reset faster than private marks, leaving many private software assets priced above comparable public trading levels on a TTM basis. For investors, that inversion raises the bar for new platform entries, increases the importance of buy-and-build discipline, and favors targets where operational improvement or strategic adjacency can justify paying above public comp parity.[93] [116] [53]

4.1

Current M&A Multiples

- The clearest current private market benchmark is Software Equity Group's Q2 2026 median SaaS M&A multiple of about 4.0x EV/TTM Revenue, which is the most reliable transaction-based anchor for this section and should be treated distinctly from public EV/TTM and any forward NTM framing.[53] [116]
- On an ARR basis, lower-middle-market private software benchmarks are lower than revenue-based sponsor process headlines, with iMerge Advisors placing the current median near 3.75x ARR and top quartile outcomes above 6.5x ARR. This gap reflects the fact that ARR multiples are often most relevant for smaller, subscription-pure businesses, while broader EV/TTM transaction datasets include larger and more diversified assets.[89] [55]
- Deal volume remains supportive for vertical software even as valuation discipline has tightened. SEG reported that vertical software represented 55% of SaaS M&A activity in 1Q26, while Windsor Drake cited 54% of announced SaaS deals in Q2 2026 as vertically focused, indicating that buyer appetite remains concentrated in category-specific platforms rather than broad software generally.[53] [61]
- Buyer mix also matters to current pricing. SEG reported private equity and venture-backed buyers participating in 60% of all transactions in 1Q26, but direct platform investments fell to 6.1%, implying that sponsors are still active yet more selective, with greater emphasis on add-ons, proven retention, and clearer AI defensibility.[53]

- For investors, the practical read-through is that current private M&A medians are stable enough to support transactions, but not broad enough to justify paying premium prices for average assets. Premium clearing levels are increasingly reserved for vertical leaders with strong net retention, efficient growth, and monetization adjacency rather than for software exposure alone.[93, 53]

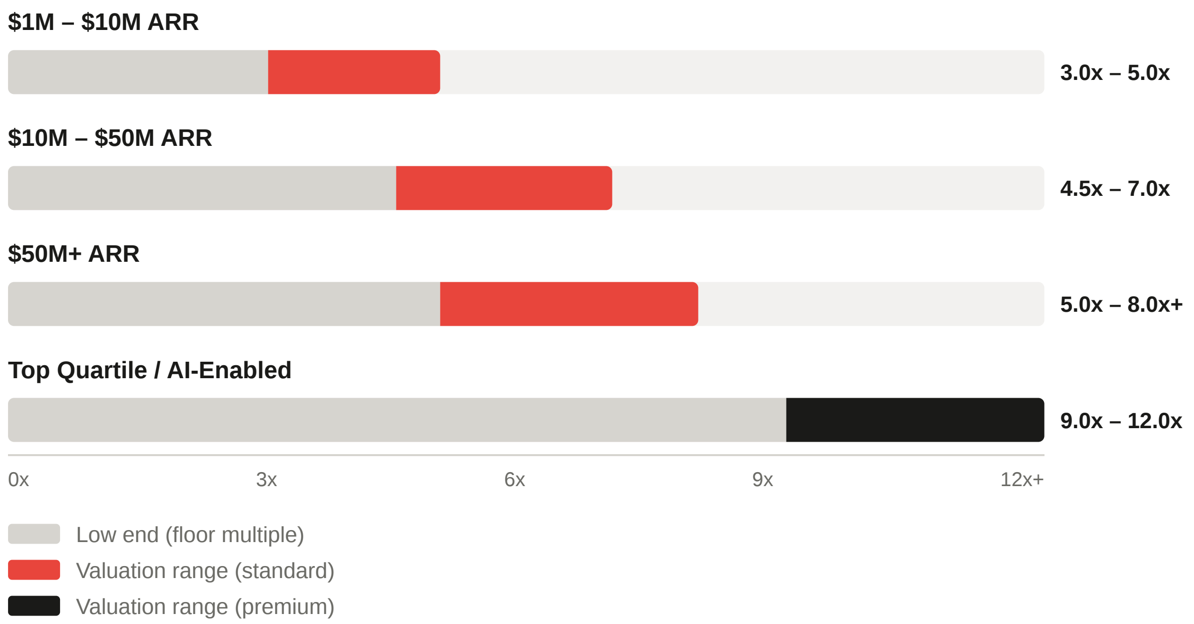
4.2

ARR Scale Breakdown

Title — Private SaaS multiples by ARR scale

ARR SCALE	TYPICAL VALUATION BASIS	CURRENT 2026 RANGE
$1M to $10M ARR	EV/ARR	3.0x to 5.0x ARR
$10M to $50M ARR	EV/ARR or EV/TTM Revenue	4.5x to 7.0x ARR
$50M+ ARR	EV/TTM Revenue with ARR cross-check	5.0x to 8.0x+ ARR equivalent
Top quartile vertical or AI-enabled assets	EV/TTM Revenue and EV/ARR	9.0x to 12.0x in exceptional cases

Source: [89, 55, 114]



- For $1M to $10M ARR companies, valuation remains heavily dependent on revenue quality rather than headline growth alone. Buyers discount founder concentration, limited management depth, and customer concentration, so even attractive vertical assets often clear in the low to mid single-digit ARR range unless they show unusually strong retention or strategic scarcity.[89, 55]
- In the $10M to $50M ARR band, the market becomes more segmented and more favorable. Companies at this scale can support institutional diligence on churn, cohort behavior, and margin

structure, which is why this band often captures the strongest sponsor competition and the widest spread between average and premium outcomes.[55, 53]

- For $50M+ ARR platforms, buyers increasingly anchor on EV/TTM Revenue and strategic value rather than a simple ARR shorthand. At this size, platform scarcity, cross-sell potential, embedded payments, and add-on capacity can justify materially higher valuations, especially in healthcare IT, fintech infrastructure, and other workflow-critical verticals.[53, 61]
- The top end of the market remains open for exceptional assets. SaaSRise reported that AI-native or top-quartile vertical SaaS businesses could still reach roughly 9x to 12x in 2026, but those outcomes are outliers rather than medians and should not be generalized across the broader private market.[114]
- The investment implication is that ARR scale is now a stronger determinant of valuation dispersion than in the 2021 market. Scale reduces underwriting uncertainty, broadens the buyer universe, and increases the probability that a target is valued on strategic platform logic rather than on small-company execution risk.[55, 53]

4.3

Public/Private Multiple Inversion

- The inversion is real as of mid-2026. Windsor Drake explicitly noted that private SaaS was screening above public comparables in Q2 2026, while Array Capital summarized the same setup with private SaaS M&A at 4.0x EV/TTM Revenue in Q2 2026 versus 3.2x for the SEG public SaaS index.[93, 116, 53]
- This is a reversal of the more typical relationship in which public assets trade above private ones because of liquidity, transparency, and daily price discovery. In 2026, public markets repriced faster under AI disruption concerns and higher required returns, while private marks adjusted more slowly because transactions are episodic and often negotiated around company-specific narratives.[93, 53]
- For investors, the first implication is entry discipline. Paying above public comp parity only makes sense where the target offers a control premium, clear operational upside, or strategic adjacency such as embedded payments, data monetization, or a roll-up thesis that public comps do not capture.[61, 53]
- The second implication is portfolio construction. Existing private holders may face mark pressure if exit windows reopen into a still-muted public market, so sponsors should prioritize assets that can grow into their entry multiple through ARR expansion, margin improvement, and add-on integration rather than relying on multiple expansion.[93, 116]
- The third implication is opportunity selection. The inversion can create attractive take-private and crossover situations in listed vertical SaaS where public names trade below private transaction levels despite stronger disclosure, better scale, and cleaner benchmarking. By inference, that favors investors who can arbitrage the valuation gap through public-to-private transactions, structured minority deals, or disciplined secondary purchases.[87, 93]
- Overall, the inversion should be viewed as a warning signal rather than a permanent new equilibrium. Unless public multiples recover materially, the more likely medium-term outcome is continued selectivity and gradual private-side compression for average assets, with premium vertical platforms remaining the exception.[93, 116]

5

Sector-by-Sector Valuation Benchmarking

5

Sector-by-Sector Valuation Benchmarking

Sector dispersion in vertical SaaS remains wide in 2025 to 2026, and investors should benchmark each niche against its own revenue quality, regulatory burden, workflow criticality, and monetisation mix rather than against a single category median. Public market anchors remain more observable on TTM bases for named comps, while private M&A clearing levels are more often discussed on EV/TTM Revenue or EV/ARR depending on scale and recurring revenue purity, so TTM and NTM should be kept separate throughout this section.[29 61 135]

Title — Vertical SaaS sector valuation benchmarks 2026

SECTOR	PUBLIC MARKET ANCHOR	PRIVATE MARKET BENCHMARK	KEY VALUATION DRIVER
Healthcare IT	Public healthcare software segment at 2.1x EV/NTM Revenue; premium public comp Veeva at about 9.0x EV/TTM Revenue.	Roughly high single digit revenue for premium assets, with healthcare cited as the most active vertical in 2025 deal flow.	Regulatory depth, mission-critical workflows, high switching costs.
Legal Tech	No clean public pure play median; UK legal tech and premium vertical software commentary support upper mid single digit to high single digit private outcomes for scaled assets.	Around 7.0x area is a reasonable private benchmark for quality assets, with upside for AI-enabled leaders.	Workflow lock-in, document and matter data, AI productivity monetisation.
Construction Tech	Procore at 6.2x EV/TTM Revenue as a public anchor.	Around 7.5x for stronger assets in current vertical SaaS benchmarking.	Project system of record status, field workflow embedment, payments and procurement adjacency.
Real Estate Software	Public real estate software segment at 3.3x EV/NTM Revenue; AppFolio at 7.5x EV/TTM Revenue.	Mid single digit to upper single digit depending on exposure to transaction cycles versus recurring property operations.	Rate sensitivity, property operations stickiness, resident and landlord workflow ownership.
Fintech enabled and embedded finance	Public financial services software segment at 3.3x EV/NTM Revenue; nCino at 4.3x EV/TTM Revenue and Toast at 2.9x EV/TTM Revenue illustrate mix effects.	Roughly 7.0x to 9.5x for quality platforms, with higher outcomes where embedded payments or lending materially lift NRR and LTV.	Monetisation density, payments take rate, underwriting data, regulatory complexity.

Source: [61 29 135 87]

The main investor conclusion is that healthcare IT and fintech-enabled platforms still justify the highest sector premiums when they combine software subscription revenue with compliance depth or embedded financial monetisation, while construction tech and real estate software sit in a more cyclical but still attractive middle band. Legal tech remains less transparent in public comps, but private market pricing continues to benefit from AI-driven workflow automation and high-value proprietary document datasets, which can support premium NTM underwriting when expansion is credible.[61, 29, 135]

5.1

Healthcare IT and Legal Tech

- Healthcare IT remains one of the strongest vertical benchmarks because buyers continue to favor software embedded in regulated clinical, provider, payer, and life sciences workflows. Software Equity Group reported healthcare as the largest vertical SaaS M&A category in 2025 at 232 deals, or 17.4% of vertical SaaS activity, which supports sustained buyer attention even after broader software multiple normalization.[29]
- On public markets, healthcare software screens modestly at the segment level on a forward basis, with Multiples.vc showing healthcare software at 2.1x EV/NTM Revenue as of August 25, 2026. That low segment median should not be confused with premium vertical leaders, because Veeva still traded around 9.0x EV/TTM Revenue in Windsor Drake's August 2026 benchmarking and about 10.1x EV/TTM Revenue in the SEG comp snapshot cited earlier in this report.[135, 61, 87]
- The valuation spread inside healthcare IT is driven by sub-vertical mix. Life sciences, clinical workflow, revenue cycle, and provider operations platforms typically command higher TTM and NTM multiples than lower-growth administrative tools because they sit closer to systems of record, compliance, and revenue generation.[61, 29]
- Legal tech is less transparent in public markets because there are few scaled, pure-play listed comps, so private benchmarking carries more weight than public medians. For investor underwriting, the practical benchmark remains around the 7.0x revenue area for quality legal workflow platforms, with upside for AI-enabled leaders that improve drafting, research, billing, and matter management productivity.[61, 90]
- The core legal tech premium drivers are similar to healthcare IT but with a different data layer. Matter-centric workflows, document repositories, billing records, and precedent libraries create sticky proprietary datasets, while AI copilots can directly monetize time savings and improve seat expansion, making NTM multiples more sensitive to credible AI upsell than in many other verticals.[61, 111]
- For investors, the key distinction is that healthcare IT premiums are still anchored more by regulation and mission criticality, whereas legal tech premiums are increasingly anchored by AI-enabled labor substitution and workflow acceleration. That implies healthcare names often deserve tighter downside protection on TTM bases, while legal tech can justify wider TTM to NTM spreads when product-led AI expansion is visible and retention remains strong.[29, 61]

5.2

Construction Tech and Real Estate Software

- Construction tech sits in the upper middle of the vertical SaaS valuation stack because it combines strong workflow embedment with more cyclical end-market exposure than healthcare or core fintech. Procore remains the clearest public benchmark at about 6.2x EV/TTM Revenue in the SEG comp set, while Windsor Drake's sector work places stronger construction tech assets around the 7.5x range in current private benchmarking.[87, 127]
- The sector's premium is driven by system-of-record positioning across bidding, project management, subcontractor coordination, field documentation, and procurement. Once a

platform becomes embedded across owners, general contractors, and subcontractors, switching costs rise materially because the software sits inside daily execution rather than only back-office reporting.[61]

- Construction tech multiples are nevertheless capped by macro sensitivity. New project starts, commercial real estate conditions, and capital spending cycles can compress NTM expectations quickly, so investors usually demand more evidence of durable expansion revenue, payments attachment, or procurement monetisation before paying healthcare-like premiums.[61, 29]
- Real estate software screens lower on average than construction tech in public forward comps, with Multiples.vc showing the real estate software segment at 3.3x EV/NTM Revenue as of August 25, 2026. That said, the public comp range is wide, and AppFolio at about 7.5x EV/TTM Revenue demonstrates that recurring property operations software can still command premium TTM valuations when it is tied to landlord, resident, and property manager workflows rather than transaction volume alone.[135, 87]
- Software Equity Group's 2026 Annual SaaS Report also shows real estate as 8.7% of vertical SaaS deal activity in 2025, indicating sustained buyer interest despite sector cyclicality. The report specifically notes continued investor interest in multifamily software tied to building operations and resident engagement, which is important because those recurring operational use cases deserve higher multiples than brokerage or transaction-dependent tools.[29]
- For comparative benchmarking, construction tech generally deserves a modest premium to real estate software when both are evaluated on TTM revenue because construction platforms often control more operationally urgent workflows. Real estate software can close or exceed that gap only when revenue is tied to recurring property management, leasing operations, or embedded payments rather than to more cyclical transaction activity.[61, 135]

5.3

Fintech-enabled and Embedded Finance

- Fintech-enabled vertical SaaS and embedded finance platforms currently occupy the broadest valuation band in this section because software quality and monetisation mix can produce very different outcomes. The investor benchmark for quality assets is roughly 7.0x to 9.5x revenue in private markets, with higher outcomes where payments, lending, insurance, or treasury products materially increase wallet share and net revenue retention.[61, 129]
- Public market anchors illustrate the dispersion clearly. Multiples.vc shows financial services software at 3.3x EV/NTM Revenue in August 2026, while named vertical comps range from nCino at about 4.3x EV/TTM Revenue to Toast at about 2.9x EV/TTM Revenue, with the latter discounted by its payments-heavy blended margin profile rather than by weak workflow relevance.[135, 87]
- The reason embedded finance can support a premium over standard vertical SaaS is monetisation density. A platform that owns the workflow and also captures payment volume, lending spread, interchange, or insurance commissions can generate materially higher lifetime value per customer than a subscription-only product, even if blended gross margin appears lower on reported revenue.[61, 127]
- Investors should, however, separate software multiple logic from fintech risk. Higher take rates and stronger NRR can justify premium NTM underwriting, but exposure to credit losses, compliance costs, partner-bank concentration, or payment volume cyclicality can compress both TTM and NTM multiples if the monetisation layer is not sufficiently diversified.[138, 61]

- nCino is a useful benchmark for software-led fintech because it reflects a more classic regulated workflow platform, while Toast is a useful benchmark for embedded-finance-heavy vertical SaaS because it shows how strong product embedment can coexist with lower headline revenue multiples due to margin mix. Investors should therefore avoid comparing TTM or NTM multiples across fintech-enabled names without adjusting for software versus payments revenue composition.[87]
- The forward view into 2027 is constructive for this segment if embedded finance remains additive rather than dilutive. By inference from current deal commentary and public comp behavior, the highest premiums should continue to accrue to platforms where financial products are native to the workflow, data advantages improve underwriting or fraud control, and AI increases conversion or servicing efficiency without introducing outsized regulatory risk.[61] [29]

6

Key Drivers of Valuation Premiums

6

Key Drivers of Valuation Premiums

Valuation premiums in vertical SaaS are increasingly explained by revenue quality and defensibility rather than by growth alone. In 2026, buyers and public investors are rewarding a specific mix of embedded monetisation, workflow ownership, retention durability, proprietary data, and credible AI positioning, while average assets without these traits are clearing much closer to market medians.[151, 53, 93]

For investors, the key analytical point is that these drivers affect both the level of the multiple and the spread between EV/TTM Revenue and EV/NTM Revenue. TTM premiums are supported by already-demonstrated monetisation density and retention, while NTM premiums expand only when investors believe those advantages can compound through higher wallet share, lower churn, and AI-enabled upsell without materially increasing execution or regulatory risk.[151, 54, 61]

6.1

Embedded Monetisation

- Embedded monetisation raises valuation because it increases revenue per customer beyond the core subscription and makes the platform economically central to the customer workflow. Payments, lending, payroll, insurance, and treasury products can lift lifetime value and reduce reliance on seat expansion alone, which is why fintech-enabled vertical SaaS often clears above standard application software when the monetisation layer is native to the workflow.[93, 61]
- The premium is not driven by revenue volume alone, but by monetisation density and attach rate quality. Investors typically pay higher EV/TTM Revenue and EV/NTM Revenue multiples when embedded financial products deepen customer dependence and improve expansion economics, but they discount businesses where payments inflate gross revenue without creating durable software-like gross profit or retention benefits.[93, 151]
- Toast is the clearest public illustration of this distinction. Its payments-heavy model expands wallet share and strategic relevance, yet its EV/TTM Revenue multiple remains below pure software leaders because blended revenue includes lower-margin fintech streams, so investors separate gross payment volume exposure from software and recurring fintech gross profit quality when underwriting value.[87, 153]
- In private markets, this dynamic is one reason fintech-enabled and embedded-finance vertical platforms have been benchmarked in roughly the 7.0x to 9.5x range for quality assets, above broader private SaaS medians near 4.0x EV/TTM Revenue. The premium is strongest where financial products are integrated into the system of record and produce visible retention and gross profit uplift rather than stand-alone transactional revenue.[61, 53]
- Investors should also distinguish TTM from NTM carefully in this category. A company may deserve only a modest TTM premium if embedded finance is early, but a wider EV/NTM Revenue premium if attach rates, cohort expansion, and unit economics show that monetisation can scale without adding credit, compliance, or partner concentration risk.[93, 138]

6.2

Workflow Lock-In and Switching Costs

Title — Retention and valuation premium signals

DRIVER	CURRENT BENCHMARK	VALUATION IMPLICATION
Vertical SaaS average NRR	120%+	Supports premium EV/TTM and wider EV/NTM spreads when durable.
Horizontal SaaS comparison NRR	About 110%	Lower expansion efficiency than leading vertical peers.
NRR threshold for clear uplift	Above 110%	SEG indicates valuation uplift remains limited below this level.
High NRR cohort	115%+	Windsor Drake cites 12.3x median versus 3.0x for under 105%.

Source: [61] [29] [152]

- Workflow lock-in is one of the clearest structural reasons vertical SaaS commands a premium over horizontal peers. When software becomes the operating layer for claims, clinical workflows, construction execution, restaurant operations, property management, or bank origination, replacement risk rises because the buyer is not swapping a tool but rewiring a live operating process.[61] [151]
- These switching costs show up economically through retention and expansion. Windsor Drake reports vertical SaaS NRR averaging 120%+ versus roughly 110% for horizontal platforms, while SEG's 2026 annual data indicates that valuation uplift remains limited until companies exceed 110% net retention, confirming that investors treat NRR as a practical proxy for workflow embedment and pricing power.[61] [29]
- The multiple correlation is material rather than cosmetic. Windsor Drake's Q3 2026 market work cites a 12.3x median multiple for software companies with NRR at or above 115%, versus 3.0x for constituents disclosing under 105%, which implies that retention quality can explain more valuation dispersion than category labels alone.[152]
- For investors, the underwriting logic is straightforward. High switching costs reduce future churn, improve forecast confidence, and make NTM revenue more believable, so companies with strong workflow lock-in often deserve both a higher EV/TTM Revenue multiple and a larger TTM to NTM spread than peers with similar current growth but weaker product embedment.[151] [54]
- This is also why buyer diligence in 2026 has shifted from headline growth to proof of operational dependence. SEG's buyer survey states that durable revenue growth, NRR above 100%, deep workflow embedment, and credible AI positioning now define premium assets, while pure growth without retention strength no longer commands the same premium it did in the 2020 to 2021 cycle.[151]

6.3

Proprietary Data and AI

- Proprietary data and AI now function as a combined defensibility test rather than as separate optional features. Investors are rewarding companies that control unique domain data, evidence trails, and decision workflows because those assets improve model performance, support automation, and are harder for general-purpose AI tools to replicate.[93, 151]
- The strongest current conceptual framing from the research set is that durable value capture in vertical AI concentrates in accountability assets such as regulated workflows, trusted systems of record, professional signoff, and evidence trails, not merely in the user interface. That matters for valuation because it suggests the premium belongs to platforms that own governed execution and auditable outcomes, rather than to thin AI layers that sit on top of someone else's workflow and data.[140]
- This criterion is becoming more important because buyers increasingly view AI commoditisation as a direct threat to software value. SEG's 2026 Buyers' Perspectives survey found that 85% of buyers identified AI-driven commoditisation as the single biggest risk to SaaS value, which means a company now needs to show why its data, workflow position, and model outputs remain differentiated even if foundation models become cheaper and more capable.[151]
- Proprietary data matters most when it is continuously refreshed inside the workflow. In vertical SaaS, transaction histories, claims records, property operations data, field telemetry, legal documents, and compliance events can create a feedback loop that improves automation accuracy and customer outcomes, which in turn supports higher retention and upsell. By inference, that is why public leaders such as Samsara, Veeva, and Guidewire sustain premium TTM multiples relative to slower-growth or less differentiated peers.[87, 93]
- Investors should still separate proven AI value from narrative premium. Academic work on AI valuation misalignment argues that AI-native firms can command outsized premiums before realized monetisation catches up, while incumbents integrating AI are re-rated only when returns become tangible, which is consistent with the current market preference for demonstrated product impact over generic AI messaging.[142, 53]
- The practical implication for 2025 to 2026 vertical SaaS valuation is that proprietary data and AI widen EV/NTM Revenue premiums only when they are linked to measurable commercial outcomes such as faster implementation, higher NRR, better attach rates, lower service intensity, or new monetisable modules. Without that proof, AI may support strategic interest, but it does not reliably justify a sustained premium on either TTM or NTM bases.[151, 93]

7

AI's Impact on Vertical SaaS Valuations

7

AI's Impact on Vertical SaaS Valuations

AI is no longer a narrative overlay on vertical SaaS valuation. In 2026, it is a sorting mechanism that separates workflow owners with proprietary data, deployable automation, and credible monetisation from incumbents whose products remain seat based and labor augmenting rather than outcome delivering.[162, 140, 151]

For investors, the key valuation effect is dispersion between TTM and NTM. TTM premiums accrue only where AI is already visible in revenue mix, retention, or margin structure, while NTM premiums expand more aggressively when buyers believe AI can accelerate growth, widen wallet share, or defend the platform against general purpose model encroachment.[142, 93, 177]

7.1

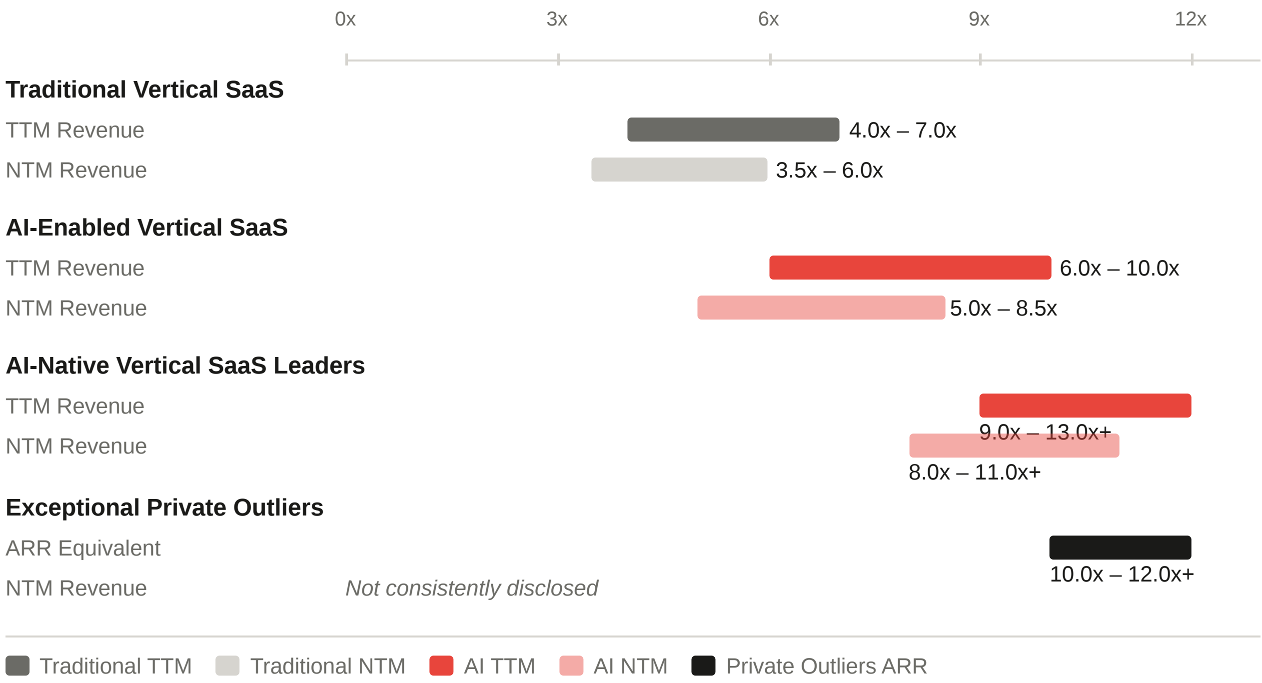
AI-native vs Traditional SaaS

AI-native vertical SaaS is increasingly priced as a different asset class from traditional vertical SaaS because investors underwrite not just software subscription growth, but the ability to automate domain work, capture proprietary feedback loops, and shift pricing toward outcomes or usage. Windsor Drake’s Q2 2026 market work describes a persistent bifurcation in exit valuation multiples between AI-native software and more traditional seat priced application software, with vertical SaaS and embedded software generally screening in a 6.0x to 13.0x revenue band and AI-native leaders occupying the upper end of that range.[93, 162]

Title — AI native versus traditional vertical SaaS.

COHORT	EV TTM REVENUE	EV NTM REVENUE	INVESTOR INTERPRETATION
Traditional vertical SaaS median	4.0x to 7.0x	3.5x to 6.0x	Workflow depth still matters, but AI upside is only partially capitalised.
AI enabled vertical SaaS	6.0x to 10.0x	5.0x to 8.5x	Premium reflects deployed copilots, automation modules, and stronger forward growth assumptions.
AI native vertical SaaS leaders	9.0x to 13.0x+	8.0x to 11.0x+	Market prices these assets on automation potential, data flywheels, and category creation.
Exceptional private outliers	10.0x to 12.0x+ ARR equivalent	Not consistently disclosed	Premium reserved for scarce assets with clear product market fit and strategic urgency.

Source: [93, 171, 174]



- TTM effect: AI-native companies usually show a higher EV/TTM Revenue multiple only when AI is already monetised through higher ACV, faster expansion, or lower service intensity. This is consistent with the Capability Realization Rate framework, which argues that AI-native firms receive larger valuation premiums because markets anchor to future capability, while incumbents are re-rated only after tangible returns appear.[142]
- NTM effect: The EV/NTM Revenue premium is typically wider than the EV/TTM premium because forward estimates capitalize expected AI upsell, automation led margin expansion, and faster product velocity. PwC notes that premium exits now depend less on cost cutting and more on AI-native product development and a credible AI value creation story, which directly supports higher forward multiples than backward looking TTM metrics alone.[177]
- Why the premium can reach 2x to 3x: The premium is not simply for having an AI feature. It is paid where the company owns the system of record, the evidence trail, and the domain data needed to automate accountable work, which arXiv research on vertical AI identifies as the core locus of durable value capture.[140]
- Public comp read through: Among named public vertical software benchmarks already used in this report, higher multiple names such as Samsara, Guidewire, and Veeva are not pure AI-native companies, but they do illustrate that investors reward platforms with proprietary data layers and workflow control that can be converted into AI defensibility. That distinction matters because AI-native premium should be viewed as an incremental layer above the existing premium for workflow ownership.[93] [140]

7.2

AI Integration and Investor Expectations

Investor expectations have shifted from asking whether a vertical SaaS company has AI to asking whether AI changes the revenue model, the cost structure, and the competitive boundary of the product. Software Equity Group’s 2026 Buyers’ Perspectives survey found that 61% of buyers expect software companies to be AI driven by the end of 2026, even though 63% reported seeing only limited AI use in targets evaluated during 2025, highlighting a sharp expectation gap now embedded in deal pricing.[151]

- Deal pricing implication: Buyers are increasingly willing to pay a premium for AI execution, but only when diligence shows deployed functionality, customer adoption, and defensible data access. SEG's survey indicates that AI has moved from a strategic positive to a baseline diligence item, which means the absence of a credible AI roadmap now affects price as much as the presence of AI once boosted it.[151]
- TTM versus NTM discipline: In current processes, AI integration often has a modest effect on EV/TTM Revenue unless monetisation is already visible, but it can materially widen EV/NTM Revenue if investors believe AI will accelerate bookings conversion, expansion, or margin leverage over the next twelve months. This aligns with PwC's view that software is shifting from selling access to delivering outcomes, which changes how forward value is measured and makes NTM more sensitive than TTM to AI execution quality.[177]
- Pricing model shift: AI is also reshaping how investors think about revenue quality. G2's 2026 buyer research notes growing buyer scrutiny of token usage, variable consumption, AI premiums, and shorter contracts, implying that investors must now assess whether AI revenue is durable recurring software revenue, variable usage revenue, or a lower visibility services substitute.[173]
- Market structure implication: Academic evidence on the broader AI premium shows that firms with higher positive exposure to AI factors earn higher subsequent returns, suggesting that public markets are already rewarding AI sensitivity beyond the software sector itself. For vertical SaaS, that supports higher forward multiples where AI is embedded in customer critical workflows rather than bolted on as a generic assistant.[162]
- Investor underwriting standard: The market is increasingly distinguishing between AI as feature velocity and AI as boundary control. The vertical AI literature argues that durable value capture remains concentrated in regulated workflows, evidence trails, and trusted systems of record, so investors are pricing deals more favorably when AI strengthens those assets rather than bypassing them.[140]

7.3

Risks for Non-AI-Enabled Incumbents

The principal valuation risk for non-AI-enabled incumbents is multiple compression driven by perceived replaceability. In SEG's 2026 buyer survey, 85% of buyers identified AI driven commoditisation as the single biggest risk to SaaS value, making AI readiness a direct determinant of downside protection rather than only a source of upside.[151]

- Compression mechanism: Incumbents without credible AI integration are increasingly valued as slower growth, lower strategic relevance assets, especially if their workflow can be partially unbundled by general purpose models or agent layers. PwC's 2026 deals outlook similarly notes that legacy software valuations remain under pressure as investors reassess the durability of traditional SaaS models against AI-native competition.[178]
- TTM downside: On a TTM basis, non-AI incumbents can still retain some support from installed base revenue, switching costs, and cash flow, particularly in regulated verticals such as healthcare, insurance, and government software. However, that support weakens if customers begin to view the product as a data repository rather than the execution layer for future automation.[140] [151]

- NTM downside: The larger risk is on EV/NTM Revenue, where forward estimates can compress quickly if investors assume slower seat growth, lower pricing power, or future displacement by AI-native entrants. The Capability Realization Rate model specifically warns that traditional firms integrating AI are re-rated only when returns are tangible, implying that incumbents without proof points may see little forward multiple support even if current revenue remains stable.[142]
- Competitive risk by vertical: The threat is highest in labor intensive workflows such as legal tech, field services coordination, revenue cycle, and back office operations where AI can automate high frequency tasks and reduce seat demand. It is lower, though not absent, in accountability heavy systems where auditability, compliance, and professional signoff remain central to value capture.[140]
- Investor implication: Non-AI-enabled incumbents should now be underwritten with a higher discount rate, a narrower TTM to NTM bridge, and greater diligence on whether proprietary data and workflow control are sufficient to resist agent layer disintermediation. In practical terms, the market is moving from rewarding software incumbency to rewarding AI defensibility, and companies that cannot make that transition are the most exposed to sustained multiple compression through 2027.[151] [178]

8

Benchmarking: Vertical vs Horizontal SaaS

8

Benchmarking: Vertical vs Horizontal SaaS

Vertical versus horizontal SaaS benchmarking in 2025 to 2026 is no longer a simple TAM versus niche debate. The valuation gap is increasingly explained by revenue durability, workflow ownership, AI defensibility, and monetisation density, with vertical SaaS generally screening at a premium in both public and private markets, while a narrower set of horizontal leaders still commands premium forward multiples when scale, ecosystem power, and cross-functional standardisation dominate the underwriting case.[20] [193] [140]

For investors, the key discipline is to keep TTM and NTM separate. TTM multiples continue to reflect already demonstrated retention, margin quality, and monetisation, while NTM multiples capture the market's confidence in future growth, AI-enabled expansion, and the durability of the product boundary. That distinction is especially important when comparing vertical names such as Veeva, Guidewire, Samsara, Procore, AppFolio, Toast, Tyler Technologies, and nCino against horizontal platforms whose larger TAMs can support stronger forward valuation in selected edge cases.[87] [142]

8.1

Comparative Multiples

The current market evidence supports a persistent valuation premium for vertical SaaS over horizontal SaaS, but the premium is not uniform across bases or market environments. Windsor Drake reported that vertical SaaS held a median EV/Revenue near 5.8x in Q2 2026 versus 4.1x for horizontal SaaS, implying an approximately 41% premium, while its broader Q2 2026 SaaS deck framed vertical software as a relative haven in the repricing because workflow depth and proprietary data made revenue harder to displace.[20] [93]

On a public TTM basis, the named vertical comp set remains visibly dispersed but generally premium to broad software medians. Software Equity Group's public comp snapshot showed Veeva at 10.1x EV/TTM Revenue, Guidewire at 11.4x, Samsara at 13.1x, AppFolio at 7.5x, Tyler Technologies at 6.4x, Procore at 6.2x, nCino at 4.3x, and Toast at 2.9x, against a broader public SaaS median that had reset into the mid-single digits by 2026.[87] [53]

On a private market basis, the comparison is directionally similar but must be handled carefully because private processes often anchor on EV/TTM Revenue or EV/ARR rather than a clean NTM denominator. Current private SaaS M&A medians remain near 4.0x EV/TTM Revenue overall, while premium vertical assets in healthcare IT, construction tech, legal tech, and fintech-enabled workflows continue to clear above that level when retention, embedded monetisation, and AI readiness are visible.[53] [190]

Title — Vertical versus horizontal SaaS valuation comparison

MARKET VIEW	VERTICAL SAAS	HORIZONTAL SAAS	INVESTOR READ THROUGH
Public market median, Q2 2026 EV/Revenue	5.8x	4.1x	Vertical screens at about 41% premium on current market data.

MARKET VIEW	VERTICAL SAAS	HORIZONTAL SAAS	INVESTOR READ THROUGH
Private M&A median, EV/TTM Revenue	Above 4.0x median for premium assets	Around broader private SaaS median near 4.0x for average assets	Vertical premium is selective and tied to quality, not automatic.
Public TTM premium examples	Veeva 10.1x, Guidewire 11.4x, Samsara 13.1x	Broad public SaaS medians in mid-single digits	Premium accrues to workflow depth and data moats.
Forward NTM behavior	Wider upside where AI and expansion are credible	Stronger in edge cases with very large TAM and platform leverage	NTM dispersion is larger than TTM dispersion.

Source: [20] [87] [53]

- TTM comparison: Vertical SaaS usually shows the cleaner premium on TTM because historical revenue already reflects lower churn, higher ACV, and stronger workflow embedment.[20] [87]
- NTM comparison: Horizontal SaaS can narrow or reverse the gap on NTM when investors underwrite faster future growth from platform breadth, ecosystem expansion, or AI distribution advantages.[142] [162]
- Market environment effect: In risk-off or repricing periods, vertical SaaS tends to hold up better because mission-critical workflows and proprietary data provide a defensive floor. In risk-on periods, horizontal leaders can re-rate faster because larger TAM narratives and operating leverage expand the forward multiple more aggressively.[93] [53]

8.2

Vertical SaaS Premium

The structural case for vertical SaaS commanding up to a 41% premium is rooted in revenue quality rather than category labelling. Windsor Drake's Q2 2026 work explicitly attributes the premium to workflow depth, proprietary data, and embedded monetisation, while JLA Advisors' 2026 comparison found vertical SaaS outperforming horizontal peers on seven of twelve operating metrics, including NRR, R&D productivity, sales and marketing efficiency, ACV, and adjusted EBITDA margin.[20] [191]

- Workflow ownership: Vertical platforms are more likely to sit inside regulated or operationally critical processes such as life sciences content management, insurance core administration, construction execution, property operations, field service dispatch, or bank origination. That raises switching costs and makes revenue more durable on a TTM basis.[140] [87]
- Retention and expansion: Vertical SaaS often benefits from stronger cohort economics because the product is tied to daily operating workflows rather than a generic functional layer. Better retention supports both a higher EV/TTM Revenue multiple and a wider TTM to NTM bridge when expansion is credible.[38] [191]
- Embedded monetisation: Vertical software can monetise beyond subscriptions through payments, lending, insurance, payroll, procurement, and data products. That increases wallet share and can justify premium valuation even when blended gross margin is lower than pure software peers.[190] [93]
- Proprietary data and AI defensibility: Vertical SaaS owns domain-specific evidence trails, transaction histories, and compliance data that improve AI performance and make automation

more defensible. The vertical AI literature argues that durable value capture concentrates in accountability assets such as regulated workflows, trusted systems of record, and professional sign-off, which directly supports premium multiples for vertical workflow owners.[140, 162]

- Investor behavior in 2026: The premium is also a function of downside protection. In a market repricing seat-based software and generic application layers, investors have favored assets whose revenue is harder to commoditise by general-purpose AI, which has disproportionately benefited vertical systems of record.[20, 142]

The practical implication is that the vertical premium should be underwritten as a quality premium, not a niche premium. Investors should pay up only where specialization translates into measurable retention, pricing power, monetisation adjacency, and AI-protected workflow control rather than assuming every industry-specific product deserves a premium multiple.[20, 53]

8.3

Horizontal SaaS Edge Cases

Horizontal SaaS can outperform vertical SaaS in specific edge cases, especially on an NTM basis, when scale and platform breadth outweigh workflow specialization. This is most common where the product addresses a very large cross-industry budget line, benefits from ecosystem network effects, and can distribute AI functionality across a broad installed base faster than a vertical specialist can monetise within a narrower niche.[162, 142]

- Large TAM and category leadership: Horizontal leaders can command premium forward multiples when they dominate a broad function such as CRM, collaboration, HCM, developer tooling, or finance automation. In these cases, investors may accept lower current TTM efficiency because the NTM opportunity set is materially larger than that of most vertical peers.[53, 191]
- Ecosystem and platform effects: Horizontal platforms often benefit from partner ecosystems, third-party developers, and cross-sell across multiple departments. That can create stronger long-term operating leverage and justify a higher EV/NTM Revenue multiple even if the current EV/TTM Revenue multiple is not obviously superior.[142]
- Superior gross margin and cleaner revenue mix: Some horizontal SaaS businesses retain higher pure-software gross margins than vertical peers that blend in payments, services, or implementation revenue. In a market emphasizing free cash flow and Rule of 40 quality, that can support premium valuation despite weaker workflow specificity.[53, 93]
- Faster AI distribution: Horizontal vendors with broad installed bases can sometimes monetise AI faster because they can roll out copilots, automation, and usage-based pricing across millions of users. Where AI is a horizontal productivity layer rather than a regulated workflow engine, the market may reward the horizontal model more aggressively on NTM than on TTM.[162, 142]
- Lower end-market cyclicality: Some horizontal categories are less exposed to the sector-specific demand shocks that affect construction, real estate, or SMB-facing verticals. That can make forward estimates more resilient and narrow the valuation gap during periods of vertical-specific macro stress.[53]

For investors, the edge-case conclusion is straightforward. Horizontal SaaS deserves a premium when breadth creates a stronger forward compounding engine than specialization, but those cases are exceptions rather than the 2026 base case. In the current market, vertical SaaS still tends to win on TTM defensiveness and private-market scarcity, while horizontal SaaS wins selectively on NTM when platform scale, ecosystem power, and AI distribution create a larger future earnings surface.[20, 53]

9

Investor Landscape & M&A Activity

9

Investor Landscape & M&A Activity

Vertical SaaS investor activity in 2025 to 2026 has become more concentrated around firms that can underwrite workflow depth, embedded monetization, and AI defensibility rather than software exposure alone. The market is being led by a mix of software-specialist PE platforms and growth or venture investors whose theses increasingly converge around regulated workflows, SMB operating systems, and vertical AI overlays that can widen the gap between TTM durability and NTM upside.[140, 219, 61]

M&A activity confirms that vertical software remains one of the most active and strategically relevant parts of the software market. Software Equity Group reported that vertical software represented 49% of SaaS M&A activity in full year 2025, while Windsor Drake reported vertically focused targets at 54% of announced SaaS deals in Q2 2026, up from 46% a year earlier, indicating that vertical SaaS has moved from a large niche to a majority share of current SaaS deal flow.[29, 61]

9.1

Leading Investors

- Vista Equity Partners: Vista remains one of the clearest software-specialist PE benchmarks for the category. Its private equity strategy is explicitly focused on enterprise software businesses across a wide range of vertical markets and end-users, with value creation driven by operational excellence and innovation rather than pure multiple arbitrage.[254]
- General Atlantic: GA approaches the market through thematic growth investing rather than a narrow vertical SaaS label, but its published framework highlights Cross-Vertical Enterprise Software and SMB Software as core or emerging business models. GA also states that its enterprise technology team leads efforts around enterprise and vertical software, which is relevant for scaled growth-stage vertical platforms seeking international expansion capital.[255, 253, 258]
- Bessemer Venture Partners: Bessemer has one of the most explicit long-duration vertical software theses in the market. Its published work argues that underserved industries, workflow ownership, and embedded fintech create durable value, and its January 2026 vertical AI material extends that thesis by arguing that vertical AI could become materially larger than legacy vertical SaaS as software expands into services-heavy workflows.[242, 241, 243]
- FTV Capital: FTV is especially relevant for investors focused on the intersection of vertical software and embedded finance. Its published sector commentary repeatedly emphasizes payment-enabled and workflow-native software in legal, accounting, restaurant, landscaping, nonprofit, and GRC markets, making it a useful proxy for where growth equity still sees premium expansion opportunities in 2026.[235, 236, 237]
- Battery Ventures and Accel: On the VC side, Battery and Accel remain important because both continue to back software and AI application companies across stages, including vertical specialists. Battery announced $3.25 billion of fresh capital in February 2026 across stage-diversified technology investing, while Accel’s published case studies on Zenoti and Legora show continued conviction in category-defining vertical workflow platforms, especially where AI solves the last-mile problem in regulated or domain-specific work.[244, 238, 256, 263]

- Investor read-through: Across these firms, the common thesis is now clear. Capital is concentrating in platforms that own the system of record, can layer in payments or other monetization adjacencies, and can defend their workflow position against AI unbundling by controlling accountability, evidence trails, and domain data.[140] [246] [254]

9.2

Notable Transactions

Title — Selected vertical SaaS transactions 2025 to 2026

TRANSACTION	ANNOUNCED VALUE	STRATEGIC IMPORTANCE
GE HealthCare acquisition of Intelerad	$2.3B	Validates premium strategic value for cloud imaging, workflow orchestration, and AI-enabled healthcare SaaS.
Waystar acquisition of Iodine Software	$1.25B EV	Reinforces buyer appetite for healthcare revenue-cycle software with AI and payments adjacency.
MDaudit merger with Streamline Health	$37.4M	Illustrates continued consolidation in healthcare compliance and revenue integrity software.
Digi acquisition of Jolt	Not disclosed	Shows strategic demand for operational compliance software in foodservice and multi-site operations.

Source: [270] [275] [283] [277]

- GE HealthCare and Intelerad: Announced on January 20, 2025, GE HealthCare agreed to acquire Intelerad for $2.3 billion in cash. The deal is important because it places a large-cap strategic valuation on a cloud-enabled, AI-enabled imaging workflow platform and signals that healthcare vertical SaaS with system-of-record characteristics remains one of the most defensible software sub-sectors.[270]
- Waystar and Iodine: Announced on July 23, 2025, Waystar agreed to acquire Iodine Software for an enterprise value of $1.25 billion. The rationale centered on AI-powered healthcare payments and revenue-cycle transformation, making it a strong example of vertical SaaS value being enhanced by embedded financial workflow and automation rather than by subscription revenue alone.[275]
- MDaudit and Streamline Health: Announced on May 29, 2025, MDaudit agreed to acquire Streamline Health in an all-cash transaction valued at approximately $37.4 million, including debt. Although much smaller than the two transactions above, it is strategically relevant because it reflects ongoing consolidation in healthcare revenue integrity and compliance software, where AI and auditability are becoming central to product differentiation.[283]
- Digi and Jolt: Digi announced its acquisition of Jolt in August 2025, noting that Jolt had generated more than $20 million in ARR in the fiscal year ended January 31, 2025. This is a useful lower-mid-market benchmark because it shows strategics still paying for operational compliance and frontline workflow software in foodservice, grocery, convenience, and healthcare, especially where the target can accelerate ARR growth and synergy capture.[277]
- Market interpretation: The disclosed 2025 to 2026 transaction set is skewed toward healthcare and operational workflow software, which is consistent with the broader thesis already established in this report. Buyers are prioritizing vertical platforms that combine mission-critical

workflows with AI, compliance, or payments leverage, rather than pursuing broad-based software rollups without clear domain depth.[29, 278]

9.3
Deal Flow and Market Share

- Full-year share: Software Equity Group reported that vertical software represented 49% of SaaS M&A activity in 2025, versus 51% for horizontal platforms. That near-even split is notable because it places vertical SaaS at parity with the rest of the SaaS market despite being a narrower category by company count and historical investor attention.[29]
- Quarterly acceleration: By Q2 2026, Windsor Drake reported that vertically focused targets accounted for 54% of announced SaaS deals, up from 46% in Q2 2025. This is the clearest current evidence that vertical SaaS has crossed the halfway mark of SaaS deal flow and is gaining share rather than merely holding it.[61, 225]
- Broader market context: Windsor Drake also noted that 2025 was the most active year on record for SaaS M&A, with 2,698 transactions, even as public SaaS multiples compressed materially. The implication is that vertical SaaS gained share during a period of valuation pressure, which strengthens the argument that buyer demand is being driven by strategic scarcity and workflow defensibility rather than by a general risk-on market.[154]
- Buyer mix: SEG reported that private equity and venture-backed buyers participated in 60% of all SaaS transactions in Q1 2026, while Windsor Drake cited private equity leading roughly 57% of Q1 2026 SaaS transactions. That buyer mix matters because sponsor-led processes tend to favor repeatable vertical theses, add-on acquisition strategies, and platforms with measurable retention and AI-readiness rather than speculative category bets.[219, 93]
- Deal structure trend: The current market is favoring smaller and mid-sized add-ons, selective platform deals, and transactions where AI or embedded finance can be underwritten as a concrete value-creation lever. This is an inference from the combination of majority sponsor participation, public/private multiple inversion, and buyer commentary emphasizing durable growth, NRR, and AI positioning rather than broad multiple expansion.[219, 61, 280]
- Investor implication: Vertical SaaS is no longer just outperforming on valuation quality. It is now taking a majority share of current SaaS deal flow, which supports treating the category as a core software allocation bucket for PE, growth equity, and strategic acquirers heading into 2027.[61, 29]

10

Outlook & Strategic Implications for Investors

10

Outlook & Strategic Implications for Investors

Vertical SaaS enters late 2026 with a more selective but still constructive setup for 2027. The base case is not a return to 2021 style multiple expansion, but a bifurcated market in which public EV/TTM Revenue multiples remain anchored by higher discount rates and AI disruption risk, while EV/NTM Revenue and private control valuations continue to reward workflow ownership, retention durability, and credible AI monetisation.[53, 61, 152]

For investors, the strategic implication is that underwriting discipline matters more than category exposure. Vertical SaaS should remain a core allocation theme through 2027, but returns are likely to come from buying the right sub-sectors and capital structures, distinguishing TTM from NTM carefully, and paying premium prices only where AI strengthens the system of record rather than commoditising it.[53, 243, 140]

10.1

Forecasting Multiples

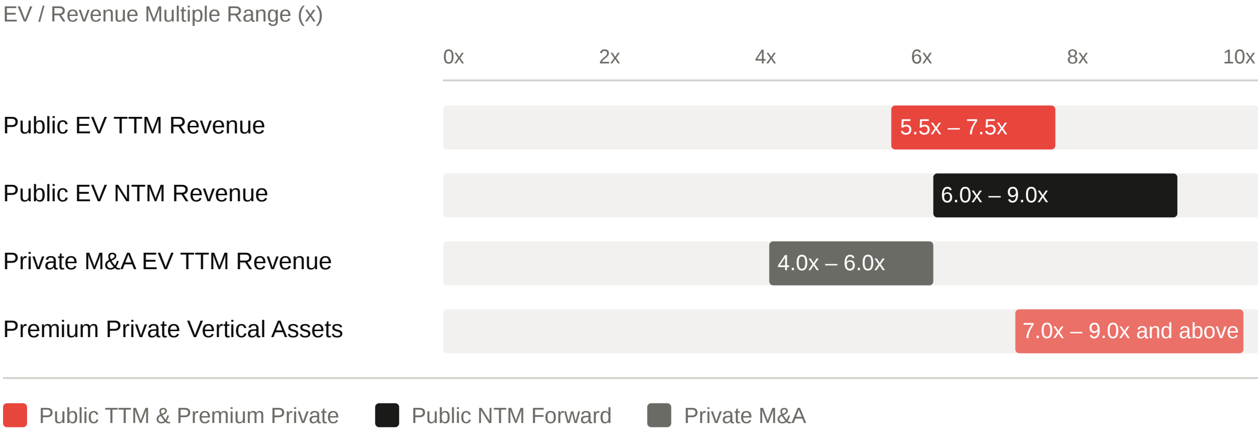
The most defensible 2027 outlook is a gradual normalisation rather than a broad re-rating. SEG reported the public SaaS median at 3.6x EV/TTM Revenue in 1Q26, while Windsor Drake cited 6.9x as the current median for vertical SaaS in its Q3 2026 framing and about 4.0x EV/TTM Revenue as the broad private SaaS M&A median through mid-2026, implying that vertical leaders still hold a premium but the market remains valuation-sensitive.[53, 152, 61]

- Base case for public vertical SaaS TTM: A reasonable 2027 range is roughly 5.5x to 7.5x EV/TTM Revenue for quality vertical leaders, with the broader public vertical cohort likely clustering below that level if growth remains moderate and rates stay restrictive. This is an inference from current vertical premiums over horizontal SaaS, the 2025 to 2026 reset in public medians, and the recent partial rebound in software estimated-revenue multiples during mid-2026.[152, 287, 29]
- Base case for public vertical SaaS NTM: Forward multiples should remain more dispersed than TTM, with premium names in healthcare IT, insurance software, field operations, and AI-enabled legal or fintech workflows plausibly sustaining about 6.0x to 9.0x EV/NTM Revenue, while average assets remain materially lower. This follows from the current market pattern in which AI credibility and retention quality widen the TTM to NTM spread rather than lifting the whole category.[291, 287, 142]
- Base case for private M&A TTM: Private vertical SaaS should likely clear around 4.0x to 6.0x EV/TTM Revenue in 2027 for solid but non-scarce assets, with premium platforms still capable of 7.0x plus where NRR, embedded monetisation, and AI defensibility are proven. This assumes the current public/private inversion narrows gradually rather than disappearing abruptly.[61, 53, 89]
- Base case for private ARR multiples: For 2027, subscale assets around $1M to $10M ARR are likely to remain in the low to mid single-digit ARR band, while $10M to $50M ARR platforms with strong retention and vertical depth should continue to command a clear premium. The market is still rewarding scale, proof of repeatability, and strategic scarcity more than early-stage narrative.[55, 89]

Title — 2027 vertical SaaS multiple outlook

VALUATION BASIS	2027 BASE CASE	INVESTOR INTERPRETATION
Public EV TTM Revenue	5.5x to 7.5x	Quality vertical leaders retain a premium, but broad expansion is unlikely.
Public EV NTM Revenue	6.0x to 9.0x	Forward upside remains concentrated in AI-credible, high-retention names.
Private M&A EV TTM Revenue	4.0x to 6.0x	Average assets clear near disciplined control valuations.
Premium private vertical assets	7.0x to 9.0x+	Reserved for scarce platforms with strong NRR, AI, and monetisation adjacency.

Source: [53] [61] [152] [287]



- Bull case: If software multiples continue recovering from the June 2026 rebound, inflation and rates ease, and AI monetisation becomes more visible in reported revenue, public EV/NTM Revenue could expand faster than EV/TTM Revenue, especially for names like Veeva, Guidewire, Samsara, Procore, and AppFolio that already own high-value workflows.[287] [87] [53]
- Bear case: If AI commoditisation accelerates or macro conditions tighten again, the likely outcome is not uniform collapse but sharper dispersion, with average vertical SaaS compressing toward broad software medians while only the strongest systems of record preserve premium TTM and NTM spreads.[151] [140] [141]

10.2

Key Risks and Challenges

- Macroeconomic risk: Vertical SaaS remains exposed to the same duration and financing pressures affecting broader software. Public software multiples compressed materially into 2026, and private equity dealmaking has been shaped by tighter leverage, higher required returns, and slower exit recycling, which means even strong assets can face multiple pressure if rates or credit conditions worsen.[53] [93] [280]
- End-market cyclicality risk: Construction tech, real estate software, restaurant software, and SMB-facing field services platforms remain more sensitive to customer formation, project starts, transaction volumes, and discretionary IT budgets than healthcare, insurance, or government

software. That cyclicality can compress EV/NTM Revenue faster than EV/TTM Revenue because forward estimates reset before installed-base revenue deteriorates.[61, 29]

- AI disruption risk: The largest structural risk is not that AI eliminates software demand, but that it shifts value away from thin application layers toward workflow owners, data custodians, and accountability systems. The vertical AI literature argues that firms that cede the workflow boundary to agents may lose value capture, while SEG's 2026 buyer survey found 85% of buyers viewed AI-driven commoditisation as the biggest risk to SaaS value.[140, 151]
- Valuation misalignment risk: AI-native firms can command forward premiums before monetisation is fully proven, creating a risk that EV/NTM Revenue outruns realised economics. The Capability Realization Rate framework specifically warns that AI-related re-ratings can diverge from tangible returns, which is highly relevant for investors paying up for 2027 growth narratives.[142, 141]
- Market concentration risk: Premium valuations are increasingly concentrated in a narrow set of public leaders and scarce private assets. SEG notes that a select group of companies continues to command premium valuations, while broader medians remain much lower, so portfolio outcomes can be skewed by overexposure to crowded themes or overpaying for a small number of perceived category winners.[53, 87]
- Platform and orchestrator dependence: A newer risk is dependence on external model providers, agent frameworks, or distribution layers. The vertical AI research warns against single-orchestrator dependence and highlights “rule debt” as a hidden customer cost when governed workflows migrate into prompts and agents, which could weaken product control and long-term pricing power.[140]
- Disclosure and diligence risk: In a more complex AI market, investors face greater difficulty separating real product progress from narrative inflation. Recent arXiv work on disclosure timing and complexity argues that information asymmetry can delay market recognition of deterioration, reinforcing the need for deeper product, cohort, and monetisation diligence.[284]
- Exit risk: The public/private inversion remains unresolved. If public comp recovery stalls, private marks may need to compress further, particularly for assets bought on aggressive 2024 to 2026 assumptions that require multiple expansion rather than operational improvement to achieve target returns.[61, 116, 53]

10.3 Strategic Guidance for Investors

- Prioritise TTM discipline, then underwrite NTM upside separately: Investors should anchor entry valuation on EV/TTM Revenue or EV/ARR that is supportable today, then pay incremental premium only for forward drivers that are visible in product adoption, NRR, attach rates, and margin structure. This is especially important in 2026 to 2027 because AI narratives are widening the gap between backward-looking and forward-looking pricing.[53, 142]
- Focus on accountability-heavy verticals: Healthcare IT, insurance software, government software, and regulated fintech workflows offer the strongest downside protection because they combine compliance depth, evidence trails, and system-of-record status. Those characteristics are exactly the accountability assets that current vertical AI research identifies as the most defensible against agent-layer unbundling.[140, 29, 87]
- Be selective in AI-exposed sectors: Legal tech, field services, and construction tech may offer stronger upside on EV/NTM Revenue because AI can automate labor-intensive workflows and

expand wallet share, but they also carry greater displacement risk if the incumbent does not control the workflow boundary. Investors should prefer platforms where AI is embedded into governed execution, not just layered onto search or drafting.[140, 241]

- Use the public/private inversion tactically: Publicly listed vertical SaaS names trading below private control-equivalent levels may offer better risk-adjusted entry points than sponsor auctions for similar private assets. That favours crossover, structured minority, and take-private screening where disclosure quality is higher and valuation discipline is easier to enforce.[61, 116, 87]
- Prefer monetisation adjacency over pure seat growth: Embedded payments, lending, insurance, payroll, procurement, and data products remain among the clearest ways to compound value without relying solely on new logo growth. Investors should still normalise for blended margin effects and distinguish software-like gross profit from pass-through revenue.[61, 235]
- Screen hard for retention and workflow depth: High NRR, low churn, and operational dependence remain the best evidence that a vertical platform deserves a premium. In practice, investors should treat NRR durability, implementation stickiness, and data refresh loops as more predictive of 2027 exit quality than broad TAM narratives alone.[152, 151]
- Build around sectors with both resilience and optionality: The most attractive 2027 hunting ground appears to be healthcare IT, insurance and compliance software, government and public sector software, and selected fintech-enabled vertical platforms. These sectors combine stronger TTM defensiveness with credible NTM upside from AI, data, and embedded monetisation.[29, 61, 243]
- Avoid overpaying for generic AI wrappers: The strategic mistake into 2027 is likely to be paying premium NTM multiples for products that do not own the system of record, the evidence trail, or the accountable workflow. Where AI can be replicated by a model provider or agent layer, investors should assume faster multiple compression and underwrite to a lower terminal multiple.[140, 142]
- Portfolio construction implication: The best strategy is barbelled exposure. Own a core of durable, accountability-heavy vertical platforms for TTM downside protection, and add a smaller sleeve of AI-accelerating vertical assets where EV/NTM upside is supported by measurable product adoption rather than narrative alone.[53, 141]

11

References & Data Sources

11

References & Data Sources

This report was built from a layered source stack designed to maximize investor relevance, timeliness, and auditability as of August 25, 2026. Primary inputs were current market datasets, company filings, transaction announcements, and specialist software valuation reports; secondary inputs were used selectively for thematic framing, AI interpretation, and market context, with clear separation between directly observed data and analytical commentary.[53, 61, 153]

Source selection prioritized materials that disclosed methodology, publication timing, and market scope, especially where the report distinguished EV/TTM Revenue, EV/NTM Revenue, and EV/ARR. Where vertical-only NTM data was not transparently published, the report used named public comparables and broader SaaS forward benchmarks rather than inferring a false precision from incomplete datasets.[53, 89, 127]

11.1

Primary Sources

- Market benchmark reports: The core valuation and deal-flow evidence came from Software Equity Group quarterly and annual SaaS reports, which provided public EV/TTM revenue medians, SaaS M&A transaction counts, and vertical software share of deal activity for 2025 to 2026.[53, 29]
- Vertical SaaS specialist research: Windsor Drake reports were used for vertical versus horizontal SaaS comparisons, sector-level benchmarking, private-market framing, and current commentary on AI-related multiple dispersion.[61, 127, 93]
- Public company valuation anchors: Named public comparables including Veeva, Guidewire, Samsara, AppFolio, Procore, Tyler Technologies, nCino, and Toast were benchmarked using current public-market comp snapshots and, where needed, cross-checked against issuer filings.[87, 88, 153]
- Transaction and company event disclosures: Specific M&A examples were sourced from company press releases and investor relations pages to preserve announcement-date accuracy and disclosed transaction values.[270, 275, 283, 277]
- Investor and strategy materials: Published materials from Vista Equity Partners, General Atlantic, Bessemer Venture Partners, FTV Capital, Battery Ventures, and Accel were used to identify active investor cohorts and stated investment theses in vertical software and vertical AI.[254, 255, 297, 235, 244, 256]
- Academic and primary technical papers: ArXiv papers were used for conceptual support on vertical AI boundaries, AI valuation misalignment, and bubble-risk framing, especially where the report discussed accountability assets, rule debt, and the difference between realized and narrative AI premiums.[140, 142, 141]

11.2

Secondary Sources

- Supporting valuation commentary: iMerge Advisors, Array Capital, Silverpeak, Translink Corporate Finance, First Analysis, Lateral, and similar market commentaries were used as secondary triangulation sources where they explicitly referenced underlying datasets or offered useful framing on dispersion, ARR bands, or sector behavior. These sources were not treated as substitutes for primary transaction data.[89, 116, 289, 296, 287, 291]

- Market sizing and category framing: Gartner and other industry research providers informed the top-down market-size and growth discussion, but were used cautiously because definitions of vertical software, vertical-specific software, and vertical SaaS vary across publishers.[15, 21, 24, 22]
- Broader SaaS operating and valuation frameworks: Bessemer Venture Partners and related cloud-market commentary were used to support discussion of Rule of X, forward-multiple behavior, and the distinction between average and median public SaaS outcomes.[54, 242]
- AI and deal-market interpretation: PwC, Bain, FT Partners, G2, and buyer-survey materials were used to contextualize how AI is affecting software diligence, pricing models, and exit expectations. These sources informed interpretation rather than serving as the sole basis for valuation statistics.[177, 178, 280, 138, 173]
- Comparative and niche references: Additional niche sources were used only where they added sector-specific color or highlighted gaps in public disclosure, particularly in legal tech, embedded finance, and vertical AI. Their role was supplementary and subordinate to primary filings, transaction disclosures, and specialist benchmark reports.[243, 236, 263]

11.3
Data Source Description

Title — Source hierarchy used in this report

SOURCE TYPE	PRIMARY USE IN REPORT	RELIABILITY ASSESSMENT
SEC filings and issuer disclosures	Revenue mix, growth, company-specific facts, transaction announcements	Highest for company-reported facts, but limited to issuer scope.
Specialist valuation datasets	Public and private SaaS multiples, deal counts, vertical share, sector benchmarks	High, provided methodology and update cadence are disclosed.
Investor and IR materials	Strategy, investor activity, thesis validation, announced deal rationale	High for stated strategy, moderate for promotional framing.
Academic papers and industry research	AI valuation theory, market structure interpretation, category framing	High for conceptual rigor, lower for direct market pricing unless tied to observed datasets.

Source: [53, 61, 153, 140]

- Reliability framework: The report gave highest weight to sources with direct disclosure, transparent methodology, and recent publication dates. This means SEC filings, company press releases, and specialist benchmark reports were preferred over generalized blogs or unattributed market summaries.[88, 53, 61]
- Validity controls: TTM, NTM, and ARR bases were kept separate throughout because the underlying sources do not always publish them on a like-for-like basis. Where a vertical-only NTM median could not be verified from transparent primary sources, the report stated that limitation explicitly and relied on named comparables or broader SaaS forward benchmarks instead.[87, 89, 291]

- Scope limitations: Some valuation commentary in the market repackages underlying SEG, public comp, or advisor datasets, so secondary sources were used mainly for triangulation rather than as independent proof points. This is particularly relevant for private-market ARR ranges, sector medians, and AI-premium commentary, where disclosure remains uneven across firms.[116] [289] [296]
- Investor takeaway: The source base is strongest for public TTM multiples, disclosed M&A activity, named public comparables, and company-specific facts. It is directionally strong but less uniform for private ARR bands, vertical-only NTM medians, and AI-native premium quantification, which is why those areas were presented as ranges and explicitly framed with source-quality caveats.[53] [93] [142]

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CONTACT

WEB	caspr.ai
EMAIL	hello@caspr.ai
SUPPORT	support@caspr.ai

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